taken into account before providing for depreciation.

8. **Legal Provisions:** The provisions of Companies Act and Income Tax Act should be kept in mind before charging depreciation on an asset.

7.6 Different Methods of Charging Depreciation



1. **Straight Line (Or) Fixed Instalment Method**

   This is the oldest and simplest method of charging depreciation. The life of the asset is estimated and depreciation is written off equally over the life of an asset. The amount of depreciation is such that the book value of the asset is reduced to zero at the end of life of the asset. The amount of depreciation is calculated as follows:

$$\text{Amount of Depreciation (Rs.)} = \frac{\text{Original cost} - \text{Residual or Scrap value}}{\text{Estimated Useful life of the Asset}}$$

$$\text{Rate of Depreciation (\%)} = \frac{\text{Amount of Depreciation}}{\text{Original Cost}} \times 100$$

ADAVANTAGES

1. **Simple to Understand:** This method of calculating depreciation is very simple to understand.
2. **Easy to Calculate:** It is easy to calculate the amount and rate of depreciation.
3. **Accuracy:** In this method, the book value of the asset, i.e., cost price of the asset less depreciation, becomes zero or equal to its scrap value of the expiry of its useful life.

SUITABILITY

- Straight line method of charging depreciation is suitable for assets when – (1) the possibility of obsolescence is less, and (2) when repair charges are less.
- This method is recommended in case of fixed assets such as buildings, plant and machinery and other assets which are subject to depreciation by reason of their employment in the business.
- It is also recommended in case of assets which become exhausted by the effluxion of time such as leasehold properties, patents etc.

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